

Changes in Long-Term Liabilities

The following presents the changes in long-term liabilities for the year ended June 30, 2025:

	Balance July 1, 2024	Increases	Decreases	Balance June 30, 2025	Due within One Year
<i>(as restated, see note 20)</i>					
Governmental activities:					
General obligation bonds	\$1,522,890,000	\$ 278,210,000	\$ (124,515,000)	\$1,676,585,000	\$138,800,000
Unamortized premium	185,848,686	22,710,204	(21,914,372)	186,644,518	21,914,372
Total general obligation bonds	1,708,738,686	300,920,204	(146,429,372)	1,863,229,518	160,714,372
Installment financings - direct borrowing	321,055	-	(321,055)	-	-
Installment financings - other	73,205,000	230,410,000	(22,490,000)	281,125,000	29,070,000
Unamortized premium	-	20,729,408	(987,115)	19,742,293	987,115
Total installment financings	73,526,055	251,139,408	(23,798,170)	300,867,293	30,057,115
Compensated absences	89,174,750	48,676,133	(44,490,763)	93,360,120	37,954,048
Arbitrage	7,845,218	-	(7,845,218)	-	-
Lease liability	11,099,234	292,350	(3,030,389)	8,361,195	2,638,279
Subscription liability	11,624,786	3,841,329	(7,997,100)	7,469,015	3,822,658
Net OPEB liability	340,727,846	-	(67,768,672)	272,959,174	-
Net pension liability (LGERS)	274,627,180	-	(482,946)	274,144,234	-
Total pension liability (LEOSSA)	25,446,273	-	(1,470,793)	23,975,480	2,538,389
Total Governmental Activities	2,542,810,028	604,869,424	(303,313,423)	2,844,366,029	237,724,861
Business-type activities:					
General obligation bonds	-	41,765,000	-	41,765,000	2,090,000
Unamortized Premium	-	3,403,839	(162,088)	3,241,751	162,088
Special obligation bonds	2,195,000	-	(1,070,000)	1,125,000	1,125,000
Unamortized premium	159,142	-	(68,302)	90,840	90,840
Total bonds payable	2,354,142	45,168,839	(1,300,390)	46,222,591	3,467,928
Installment financing - direct borrowing	314,736	-	(52,456)	262,280	52,456
Compensated absences	4,379,673	1,527,845	(1,596,968)	4,310,550	1,237,070
Lease liability	529,397	-	(61,434)	467,963	65,795
Subscription liability	-	212,257	(72,900)	139,357	68,626
Net pension liability (LGERS)	8,717,158	-	(15,965)	8,701,193	-
Landfill development and post-closure care costs	16,901,948	1,110,591	-	18,012,539	-
Total Business-type Activities	33,197,054	48,019,532	(3,100,113)	78,116,473	4,891,875
Total Government-wide	\$2,576,007,082	\$ 652,888,956	\$ (306,413,536)	\$2,922,482,502	\$ 242,616,736

For the governmental funds, the net pension liabilities and net OPEB liability are liquidated by the General Fund.

The following presents changes in long-term liabilities for the year ended June 30, 2025 for the Library:

	Balance June 30, 2024, as restated	Additions	Reductions	Balance June 30, 2025	Due within One Year
Governmental activities:					
Compensated Absences	\$ 6,566,662	\$ 3,440,490	\$ (2,851,729)	\$ 7,155,423	\$ 2,554,454
SBITA liabilities	826,153	714,724	(467,102)	1,073,775	270,651
Lease liabilities	16,215,157	350,348	(1,214,307)	15,351,198	1,270,413
Net Pension Liability	17,011,929	729,465	-	17,741,394	-
Total OPEB Liability	61,551,277	-	(1,714,301)	59,836,976	-
Total Governmental activities	\$ 102,171,178	\$ 5,235,027	\$ (6,247,439)	\$ 101,158,766	\$ 4,095,518

\$7,721,680 of long-term liabilities due within one year for the Medic Agency represents compensated absences at June 30, 2025. The \$96,575,721 of long-term liabilities due in more than one year represents the unfunded liability for future post-employment healthcare benefits and the net pension liability.

Sensitivity of the County's total pension liability to changes in the discount rate. The following presents the County's total pension liability calculated using the discount rate of 4.28 percent, as well as what the County's total pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (3.28 percent) or 1-percentage-point higher (5.28 percent) than the current rate:

	1% Decrease (3.28%)	Discount Rate (4.28%)	1% Increase (5.28%)
Total pension liability	\$ 25,329,674	\$ 23,975,480	\$ 22,717,264

Schedule of Changes in Total Pension Liability
Law Enforcement Officers' Special Separation Allowance

	2025
Beginning Balance	\$ 25,446,273
Service Cost	600,718
Interest	971,213
Differences between expected and actual experience	(341,517)
Changes of assumptions or other inputs	(369,304)
Benefit payments	(2,331,903)
Net pension obligation end of year	\$ 23,975,480

Changes of Assumptions. Changes of assumptions and other inputs reflect a change in the discount rate from 4.00% at June 30, 2024 to 4.28% at June 30, 2025.

Changes in Benefit Terms. Reported compensation adjusted to reflect the assumed rate of pay as of the valuation date.

The plan currently uses mortality tables that vary by age, and health status (i.e. disabled and healthy). The current mortality rates are based on published tables and based on studies that cover significant portions of the U.S. population. The healthy mortality rates also contain a provision to reflect future mortality improvements.

c. Supplemental Retirement Income Plan

Plan Description. The County and ABC Board contribute to the Supplemental Retirement Income Plan (Plan), a defined contribution pension plan administered by the Department of State Treasurer and a Board of Trustees. The Plan provides retirement benefits to law enforcement officers employed by the County and ABC Board and to non-law enforcement full-time employees of the ABC Board. Article 5 of N.C.G.S. Chapter 135 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. The Supplemental Retirement Income Plan for Law Enforcement Officers is included in the Annual Comprehensive Financial Report for the State of North Carolina. The State's Annual Comprehensive Financial Report includes the pension trust fund financial statements for the Internal Revenue Code Section 401(k) plan that includes the Supplemental Retirement Income Plan for Law Enforcement Officers. That report may be obtained by writing to the Office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, or by calling (919) 981-5454.

Funding Policy. Article 12E of N.C.G.S. Chapter 143 requires the County and ABC Board to contribute each month an amount equal to 5% of each officer's salary, and all amounts contributed are vested immediately. In addition, the ABC Board voluntarily contributed 3% of each officer's salary with an additional 1% match for employee participation in 2025. Also, law enforcement officers may make voluntary contributions to the plan. For County officers, all contributions were provided by the County and the total amount for the year ended June 30, 2025 was \$1,138,223. Contributions for the ABC Board for the years ended June 30, 2025 was \$359,860, which consisted of \$182,135 from the ABC Board and \$177,725 from the law enforcement officers' voluntary contributions.

For non-law enforcement full-time employees, the ABC Board voluntarily contributes each month an amount equal to 5% with a 1% match for employee participation. Non-law enforcement employees also may make voluntary contributions to the plan. Total contributions for the year ended June 30, 2025 was \$1,360,894 which consisted of \$785,951 from the ABC Board and \$574,943 from the non-law enforcement employee's voluntary contributions.